No Nation Remains an Economic Growth Leader Forever

No people, economies or geographies have remained leaders of economic growth forever. Different geographies and people have assumed leadership from time to time based on a critical mix of entrepreneurial innovation, technology development, capital and human skills.

India, China and the Golden Crescent Zone of the olden times in the Middle East domesticated wild crops and animals and created a resplendent and rich agricultural economic revolution. The geography and climate were suitable and the land, rich in water, minerals and other nutrients, provided the right ‘capital’ to bring vast areas under agriculture, produce crops and create income and wealth. This confluence of circumstances and advantages lasted for many millennia.

About 300–500 years ago, the discovery of new American lands by Europeans, development of agricultural technologies that could produce better crops under controlled conditions despite extreme climates and storage and processing of crops that optimized their use neutralized the natural advantage of Asia. The invention of the steam engine and machines brought the Industrial Revolution to Europe and the Americas, which stymied the agricultural revolution by producing higher incomes and wealth from processing of non-agricultural materials. China, India and the Middle East, dependent on agricultural income and wealth, started declining relatively.

In the industrial era, economic leadership, along with income and wealth, shifted to Europe and later to the Americas and Japan once the Industrial Revolution took root. The ability to use coal and other fossil fuels to power increasingly bigger and better machines (machines, in fact, built additional stock of human physical strength besides building additional organs and muscles to perform many functions the human body was not capable of or comfortable performing) provided enormous comparative advantage in producing numerous products from minerals and metals